UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF NORTH CAROLINA

RULES FOR COMPLEX CHAPTER 11 CASES
(Effective 10-15-2026)

PART I
APPLICATION

(a) Pursuant to section 105(d)(2) of Title 11 of the United States Code (the "Bankruptcy Code"), unless otherwise ordered, these procedures (the "Complex Case Procedures") apply to the administration of the chapter 11 cases designated as complex cases (herein referred to as "Complex Cases") under the following processes:

(1) any case, other than a single asset real estate case, with noncontingent, liquidated debt in excess of $25 million in which the debtor elects treatment as a complex case by filing a notice of such election with the petition or within 7 days after the order for relief; or

(2) any case the court designates as a Complex Case.

(b) Nothing herein prohibits the debtor from (i) requesting a determination that any or all of these procedures not apply to a Complex Case; (ii) requesting alternative or additional procedures apply; or (iii) seeking such other or further relief as may be just and proper under the circumstances.

(c) The Bankruptcy Code, the Federal Rules of Bankruptcy Procedure (the "Bankruptcy Rules"), and the Local Rules of the United States Bankruptcy Court for the Eastern District of North Carolina (the "Local Bankruptcy Rules") govern all matters not covered by these specific procedures set forth herein.

PART II
CASE DESIGNATION ELECTION PROCESS

(a) ELECTION. The debtor of a chapter 11 case meeting the definition and requirements of a Complex Case may make an election to designate the case as a Complex Case subject to these procedures by filing a notice of such election contemporaneously with the petition.

(b) CHALLENGE TO ELECTION. Any party in interest may file a challenge to the election by filing an objection to the notice within 14 days of its filing. The court may hold an expedited hearing on the matter.

(c) MOTION TO BE DECLARED A COMPLEX CASE. Within 21 days of the order for relief or appointment of a chapter 11 trustee, the debtor-in-possession or trustee may file a motion with the court to be treated as a Complex Case. When designation is sought by motion, the designation will not be applicable to the case until ordered so by the court.

PART III
FIRST DAY HEARINGS

(a) Counsel for the debtor in a Complex Case should contact the courtroom staff email for the assigned judge as early as possible to obtain a date and time for first day hearings.

(b) Unless otherwise ordered, first day hearings will be conducted in person. Upon permission of the presiding judge, interested parties may participate in first day hearings by video conference or teleconference.

PART IV
FIRST DAY MOTIONS

(a) MOTIONS DECIDED ON LAW AND EVIDENCE. The fact that a motion is listed in this Part IV does not mean that the court will grant the relief requested in such a motion, in any particular case. Motions will be decided by the court based on applicable law and the evidence, including the particular facts and circumstances of the chapter 11 case.

(b) FIRST DAY ORDERS. "First Day Orders" are orders the debtor seeks to have entered by the court, whether on an interim or final basis, on or shortly after the filing of the petition. The request for a First Day Order should be made by motion (a "First Day Motion"), and a copy of the proposed First Day Order should be filed with and attached as an exhibit to the First Day Motion.

(c) REQUEST FOR RELATED RELIEF NEED NOT BE FILED IN SEPARATE MOTIONS. Motions for related relief under First Day Orders referred to above need not be filed as separate motions.

(d) AFFIDAVIT IN SUPPORT. First Day Motions must be supported by an affidavit including, at a minimum, the following information if the debtor intends to continue to operate its business:

(1) the estimated amount of the weekly payroll to employees (exclusive of officers, directors, stockholders and partners) for the thirty day period following the filing of the chapter 11 petition;

(2) the amount paid and proposed to be paid for services for the thirty day period following the filing of the chapter 11 petition –

(A) if the debtor is a corporation, to officers, stockholders and directors;

(B) if the debtor is an individual or a partnership, to the individual or the members of the partnership; and

(C) if a financial or business consultant has been retained by the debtor, to the consultant; and

(3) a schedule, for the thirty day period following the filing of the chapter 11 petition, of estimated cash receipts and disbursements, net cash gain or loss, obligations and receivables expected to accrue but remain unpaid, other than professional fees, and any other information relevant to an understanding of the foregoing.

(e) APPROVAL OF INTERIM COMPENSATION PROCEDURE. The order establishing procedures for interim compensation for services rendered and reimbursement of expenses incurred by retained professionals may include the following provisions:

(1) MONTHLY FEE STATEMENTS.

(A) On or before the 21st day of each calendar month following the month for which compensation is sought, or as soon as is practicable thereafter, each retained professional seeking interim allowance of its fees and expenses must file with the court and serve a monthly fee statement (a "Monthly Fee Statement"), by hand delivery, overnight delivery, or email, on the following parties (collectively, the "Fee Notice Parties"): (i) the debtor, (ii) counsel to the debtor, (iii) the Bankruptcy Administrator ("BA"), (iv) counsel for any postpetition lender, and (v) counsel for any official committee appointed in the case.

(B) Any retained professional that fails to file and serve a Monthly Fee Statement for a particular month or months may subsequently file and serve a consolidated Monthly Fee Statement that includes a request for compensation earned or expenses incurred during previous months.

(C) The deadline for any Fee Notice Party to object to any Monthly Fee Statement is the 14th day (or the next business day if such day is not a business day) following the date the Monthly Fee Statement is served (the "Objection Deadline"); provided, however, nothing herein should be construed to prevent the BA from seeking, by consent or order, an extension of the Objection Deadline to up to 21 days following service of a Monthly Fee Statement.

(D) To object to a retained professional's Monthly Fee Statement, the objecting Fee Notice Party must file with the court a written objection ("Objection") setting forth, with specificity, the nature of the Objection and the amount of fees or expenses at issue on or before the Objection Deadline and serve the Objection upon the affected retained professional and each of the Fee Notice Parties such that each Fee Notice Party actually receives the Objection on or before the Objection Deadline.

(E) Upon the expiration of the Objection Deadline, the debtor will promptly pay the retained professional 70% of the fees and 100% of the expenses requested in the applicable Monthly Fee Statement not subject to an Objection.

(F) If a portion of the fees and expenses requested in a Monthly Fee Statement is subject to an Objection and the parties are able to resolve the Objection, the objecting Fee Notice Party must file with the court and serve upon each other Fee Notice Party a statement indicating that the Objection is withdrawn. Thereafter, the debtor must promptly pay 70% of the fees and 100% of the expenses of the Monthly Fee Statement no longer subject to an Objection.

(G) If a portion of the fees and expenses requested in a Monthly Fee Statement is subject to an Objection and the parties are unable to reach a consensual resolution, the retained professional may either (i) file with the court a response to the Objection, together with a request for payment of any portion of the amounts subject to the Objection, or (ii) forgo payment of such amounts until the next hearing to consider interim or final fee applications, at which time the court will adjudicate any unresolved Objections.

(H) The filing of an Objection to a Monthly Fee Statement will not prejudice the objecting Fee Notice Party's right to object to any Interim Fee Application (as defined below) on any ground whether raised in the Objection or not. Furthermore, failure by a Fee Notice Party to object to a Monthly Fee Statement does not constitute a waiver of any kind nor prejudice that Fee Notice Party's right to object to any Interim Fee Application subsequently filed by a retained professional.

(I) For purposes of this procedure, retained professionals includes only professionals retained by the debtor. Other professionals compensated by the estate may move for court authority to seek compensation under this procedure.

(2) INTERIM COMPENSATION APPLICATIONS.

(A) Commencing with applications covering the period from the petition date through the last day of the month that is two months following the end of the month in which the petitions were filed, and at three-month intervals thereafter, retained professionals must file with the court an application (an "Interim Fee Application") for interim approval and allowance of compensation and reimbursement of expenses sought by such retained professional in its Monthly Fee Statements, including any amounts requested in Monthly Fee Statements but yet unpaid, filed during the preceding interim period (each such period, an "Interim Fee Period").

(B) Retained professionals must file and serve upon the Core Group (as defined in Part V(b)(1)), their applicable Interim Fee Applications on or before the 45th day, or the next business day if such day is not a business day, following the end of each Interim Fee Period.

(C) The Interim Fee Application must include a brief description identifying the following:

(i) the Monthly Fee Statements that are the subject of the request;

(ii) the amount of fees and expenses requested;

(iii) the amount of fees and expenses paid to date or subject to an Objection;

(iv) the deadline for parties to file Objections to the Interim Fee Application; and

(v) any other information requested by the court or required by the Bankruptcy Code, the Bankruptcy Rules, or the Local Bankruptcy Rules.

(D) Objections to any Interim Fee Application must be filed with the court and served upon the affected retained professional and each of the Fee Notice Parties so as to be actually received on or before the 21st day (or the next business day if such day is not a business day), following service of the applicable Interim Fee Application.

(E) The debtor may request that the court schedule a hearing on Interim Fee Applications at least once every three months or at such other intervals as the court deems appropriate. If no Objections are pending and timely filed, the court may approve and allow an Interim Fee Application without a hearing. Upon allowance by the court of a retained professional's Interim

Fee Application, the debtor is authorized to promptly pay such retained professional all requested fees (including any holdback from prior Monthly Fee Statements not subject to a pending Objection) and expenses not previously paid.

(F) Each retained professional that is an attorney must comply with the BA's requests for information and additional disclosures as set forth in the Administrative Guide to Practice and Procedure of United States Bankruptcy Court, Eastern District of North Carolina, in connection with each fee application.

(f) ORDINARY COURSE PROFESSIONALS.

(1) A motion to approve retention of professionals utilized in the ordinary course of business should provide a non-exhaustive list of the debtor's ordinary course professionals.

(2) The proposed order establishing procedures for the retention and employment of ordinary course professionals may include the following provisions:

(A) Each ordinary course professional (the "Ordinary Course Professional") must provide the following to debtor's counsel: a declaration (the "OCP Declaration") that at a minimum provides the information required by Bankruptcy Rule 2014 and certifies that the OCP does not represent or hold any interest adverse to the debtor or their estate with respect to the matters on which such professional is to be employed.

(B) Upon receipt of the OCP Declaration, the debtor will file the same with the court and serve the following parties (collectively, the "Reviewing Parties"): (i) the debtor, (ii) counsel to the debtor, (iii) the BA, (iv) counsel for any official committee appointed in the case, and (v) any other interested party as may be directed by the court.

(C) If no Objections are filed and properly served within 14 days following the date of service of the OCP Declaration, the retention and employment of such OCP is deemed approved without further order from the court.

(D) If an Objection is timely filed and not withdrawn or resolved, the debtor may either resolve the Objection without further notice or court approval or may seek a determination of the dispute by the court by filing a notice for a hearing for the court to consider the Objection.

(E) No OCP may be paid any amount for invoiced fees and expenses until such OCP has been retained in accordance with these procedures.

(F) The debtor must include in its monthly reports the amounts paid to OCPs.

(3) The court may establish a maximum fee that may be charged by an OCP without being subject to the procedures set forth in section (e)(2), above. The proposed order establishing procedures should include the amount the debtor requests the court to set as the maximum fee for purpose of this subsection.

PART V
SERVICE

(a) PROCEDURES ESTABLISHED FOR NOTICES. All (a) notices, motions, applications, and other requests for relief, (b) briefs, memoranda, affidavits, declarations, replies, and other documents filed in support of such papers seeking relief (collectively, "Requests for Relief"), and (c) Objections and responses to such Requests for Relief (collectively, the "Core Court Filings") must be filed and served in accordance with the notice procedures set forth herein (the "Notice Procedures"). However, nothing in this procedure limits a party from seeking court approval for modification to the notice requirements for a specific case or matter.

(b) DEFINITIONS OF SERVICE LISTS.

(1) CORE GROUP. The following entities comprise the core group of entities in a Complex Case (collectively, the "Core Group"): (a) the BA; (b) the debtor; (c) counsel for the debtor; (d) counsel for any committee appointed by the court,[1] (e) counsel to the debtor's prepetition lenders; (f) counsel to the debtor's postpetition lenders, if any; (g) all applicable government agencies to the extent required by the Bankruptcy Rules and the Local Bankruptcy Rules; and (h) any other party and/or counsel designated by the court. Updated Core Group lists will be provided on the case website, if any, from time to time.

(2) 2002 LIST. This group is comprised of all entities that have requested service pursuant to Bankruptcy Rule 2002 and the procedures set forth herein.

(3) AFFECTED ENTITIES. This group is comprised of all entities with a particularized interest in the subject matter of the particular court filing (each, an "Affected Entity").

(4) ALL CREDITORS, EQUITY SECURITY HOLDERS AND PARTIES IN INTEREST. The mailing matrix as maintained by the court is presumed to be a listing of all notice parties under the Bankruptcy Code when so directed. Nothing in this procedure, however, prevents a party from challenging the sufficiency of such list or moving to reduce or expand same.

(c) 2002 LIST PROCEDURES.

(1) ESTABLISHMENT AND MAINTENANCE OF THE LIST. The debtor or the claims or noticing agent (the "Claims Agent") is responsible for maintaining an updated list of those that have submitted a proper Bankruptcy Rule 2002 notice request (the "2002 List"). Unless the Claims Agent has been authorized by the court to maintain the 2002 List in lieu of the debtor, the 2002 List must be filed by the debtor within 3 days after the petition date. A revised list must be filed 7 days after the initial 2002 List if any revisions are necessary. At least every 15 days during the first 60 days of the chapter 11 case, and thereafter at least every 30 days, until confirmation of a proposed chapter 11 plan or conversion of the chapter 11 case to another chapter, the debtor or the Claims Agent must maintain and update the 2002 List by: (a) making any additions and deletions as necessary; (b) filing an

---

[1] Before the appointment of an official committee of unsecured creditors and its counsel, service must be made upon either (i) the holders of the debtor's 20 largest unsecured claims or (ii) in a jointly administered chapter 11 case, the consolidated list of the debtor's [at least] 30 largest creditors.

updated 2002 List with the court; (c) serving the updated 2002 List on the parties listed thereon; (d) filing a proof of service; and (e) simultaneously with the filing of the 2002 List, posting an updated version of the 2002 List on the case website, if any.

(2) REQUEST FOR SERVICE REQUIREMENTS. A request for service of papers pursuant to Bankruptcy Rule 2002 (each, a "2002 Notice Request") filed with the court will be deemed proper if and only if it includes the following information with respect to the party filing such request: (a) name; (b) street address; (c) name of client(s), if applicable; (d) telephone number; (e) facsimile number, if applicable; and (f) either (i) electronic mail (or email) address or (ii) a certification in compliance with Part V(c)(3) *infra*.

(3) CERTIFICATION OPTING OUT OF EMAIL SERVICE. Any individual or entity filing a 2002 Notice Request who does not maintain (and cannot practicably obtain) an email address and therefore cannot receive service by email must include in the 2002 Notice Request a certification to that effect (the "Certification"). The Certification must include a statement certifying that the individual or entity does not maintain an email address and cannot practicably obtain an email address at which the individual or entity could receive service by email.

(4) FAILURE TO INCLUDE EMAIL ADDRESS OR CERTIFICATION. If a 2002 Notice Request fails to include an email address or a Certification, within 5 business days after the filing of the Notice Request, such party will not be added to the 2002 List.

(5) It is the responsibility of each entity submitting a 2002 Notice Request to file with the court an updated 2002 Notice Request as necessary to reflect changes to any information, including email address and contact person, and serve a copy of such request upon the debtor.

(d) SERVICE OF CORE COURT FILINGS. Other than as set forth specifically below in Subparagraph (f) or designated by the court, all Core Court Filings must be served on members of the Core Group.

(e) SERVICE OF NOTICE OF MOTIONS. Other than as set forth specifically below in Subparagraph (f) or designated by the court, any Notice of Motion must be served on the 2002 List.

(f) PROCEEDINGS NOT GOVERNED BY THE NOTICE PROCEDURES. Except as set forth herein or otherwise provided by order of the court, the Notice Procedures do not apply to notices of the matters or proceedings described in the following Bankruptcy Rules:

(1) Bankruptcy Rule 2002(a)(1) (meeting of creditors pursuant to section 341 of the Bankruptcy Code);

(2) Bankruptcy Rule 2002(a)(7) (time fixed for filing a proof of claim pursuant to Bankruptcy Rule 3003(c));

(3) Bankruptcy Rule 2002(b)(1) (time fixed for filing objections and any hearing to consider approval of a disclosure statement);

(4) Bankruptcy Rule 2002(b)(2) (time fixed for filing objections and any hearing to consider confirmation of a chapter 11 plan);

(5) Bankruptcy Rule 2002(d) (certain matters for which notice is to be provided to equity security holders);

(6) Bankruptcy Rule 2002(f)(1) (entry of an order for relief);

(7) Bankruptcy Rule 2002(f)(2) (dismissal or conversion of a case to another chapter of the Bankruptcy Code);
(8) Bankruptcy Rule 2002(f)(3) (time allowed for filing claims pursuant to Bankruptcy Rule 3002);
(9) Bankruptcy Rule 2002(f)(6) (waiver, denial, or revocation of a discharge as provided in Bankruptcy Rule 4006);
(10) Bankruptcy Rule 2002(f)(7) (entry of an order confirming a chapter 11 plan); and
(11) Bankruptcy Rule 2002(f)(8) (summary of the trustee's final report and account should a case be converted to chapter 7 of the Bankruptcy Code).

(g) CERTIFICATES OF SERVICE. Notwithstanding Local Bankruptcy Rule 5005-4(9), "Service of Documents by Electronic or Conventional Means; Calculation of Response Time," certificates of service of all Core Filings, including a Service List, must be filed by the party seeking relief with the court within 7 days of the completion of noticing any particular matter; provided, however, that parties are not required to include the Service List when serving the certificate of service to such recipients.

(h) SERVICE BY ELECTRONIC MAIL. All filings, other than a summons and complaint in an adversary proceeding or documents filed under seal, will be electronically served by the court's electronic filing system, which is deemed to constitute proper service for all parties who are sent such email service. Subject to the limited exclusions set forth herein, each party that has filed a notice of appearance and a request for service of papers is deemed to have consented to electronic service of papers and service on this party is deemed proper upon a filing of a certificate of service stating such method was used.

PART VI
HEARING DATES

(a) Unless otherwise directed by the court, omnibus hearing dates and non-omnibus hearing dates may be obtained by contacting the assigned judge's courtroom staff email.

(b) OMNIBUS HEARINGS. Periodic omnibus hearings will occur as may be scheduled by the court (the "Omnibus Hearings"). Throughout the Complex Case, the debtor may periodically request that Omnibus Hearings be scheduled as necessary. The debtor must send notices of the Omnibus Hearings to the Core Group and 2002 List when the Omnibus Hearings are scheduled and file notices of additional Omnibus Hearing dates on a periodic basis as set by the court.

(1) PROCEDURES REGARDING OMNIBUS HEARINGS. Except as specifically set forth herein, all notice periods for Requests for Relief will be computed in accordance with the Bankruptcy Rules and Local Bankruptcy Rules and nothing in these procedures changes those requirements.

(2) PROPOSED AGENDA FOR OMNIBUS HEARINGS. The debtor must prepare Omnibus Hearing agendas in accordance with the following:

(A) Debtor's counsel must file a proposed agenda with regard to matters scheduled to be heard at an Omnibus Hearing (the "Proposed Hearing Agenda") no later than the date that is 2 calendar days prior to each such Omnibus Hearing.

(B) The Proposed Hearing Agenda will include, to the extent known by the debtor's counsel: (i) the docket number and title of each matter to be scheduled for hearing on such Omnibus Hearing, including the initial filing and any responses, replies, or documents related thereto; (ii) whether the matters are contested or uncontested; (iii) whether the matters have settled or are proposed to be continued; (iv) other comments that will assist the court, including the name of counsel presenting the matter; and (v) a suggestion for the order in which the matters should be addressed.

PART VII
PROCEDURES FOR REMOTE HEARING PARTICIPATION

(a) The court may allow counsel to participate in any hearing by telephone, teleconference or video conference.

(b) Unless otherwise provided in the notice of hearing, parties may participate telephonically in in-person hearings without the need to file a motion. Instructions for telephonic appearances will be stated in the notice of hearing and motion. A party may appear telephonically for argument at an evidentiary hearing; however, parties appearing telephonically are not permitted to examine witnesses or submit evidence unless otherwise permitted by the judge.

(c) In the court's discretion, hearings may be conducted by video conference. While no motion is required to authorize participation via video conference, participants must pre-register by contacting the assigned judge's courtroom staff email.

(d) Under no circumstances may any participant or listener record or broadcast the proceedings.

PART VIII
APPLICATION OF LOCAL BANKRUPTCY RULES 3002-1 AND 4002-1

(a) Local Bankruptcy Rule 3002-1 Chapter 11 Debtor's Notice of Disputed, Contingent or Unliquidated Claims is inapplicable in Complex Cases without the need for the Debtor to seek waiver of same.

(b) Local Bankruptcy Rule 4002-1(c)(3)(B)(i) Bank Accounts is hereby modified as follows in Complex Cases:

(i) The debtor-in-possession, consistent with 11 U.S.C. § 345, is authorized to open and maintain bank accounts for the deposit, investment, and disbursement of monies of the estate; provided, however, that the debtor-in-possession must segregate all monies withheld from employees or collected for taxes in a separate bank account(s) and must pay these funds to the proper authority when due.

(c) Local Bankruptcy Rule 4002-1(c)(1) is modified as follows in Complex Cases:

(1) MONTHLY REPORT.

(A) The debtor must file with the clerk (i) monthly accountings or (ii) monthly financial statements (including a profit and loss statement and a balance

sheet) in the format regularly maintained by the debtor in its ordinary course of business, the first report being due within 30 days following the end of the month in which the petition was filed or date of conversion from another chapter, and subsequent reports on or before the thirtieth day of each month thereafter. The BA may request or require additional information if it deems the monthly financial statements (item (ii) above) insufficient.

(B) The debtor must transmit a copy of all monthly reports (as provided in (A) above) to the BA, attorney for and chair of the unsecured creditors committee, and such other interested parties as may be directed by the court. The content and format of the monthly report is governed by subsection (D).

(C) Monthly bank statements must be transmitted to the BA at the time the monthly report is filed with the court. However, the monthly bank statements should not be filed with the court.

(D) The reporting requirements for the monthly reports referenced in subsection (A) will be established by the BA.

(i) The BA may, in the exercise of discretion, agree to a modification of the reporting format without further order of the court. Any agreed modification must be memorialized in writing between the debtor and the BA.

(ii) In the event the debtor requests a modification to which the BA does not agree, either party may file a motion with the court seeking a modification of the reporting format. Such motion must set forth with specificity the proposed alternative format.

(iii) Any modification of the reporting format, whether agreed to by the BA or ordered by the court, must satisfy the following conditions:

(a) The modified format must contain all certifications required by the BA; and

(b) The modified format must include all of the information that is required by the BA's prescribed reporting format.

(d) Local Bankruptcy Rule 4002-1(d)(1) Payments to Principals is inapplicable in Complex Cases without the need for the debtor to seek waiver of same.

PART IX
MONTHLY ACCOUNTING

(a) REPORTING AND FORMAT. For each day following the petition date until the plan is confirmed or the case is dismissed or converted, the debtor-in-possession or trustee must file a monthly report setting forth the activities of the estate. The report must be a calendar date report regardless of the filing date or ending date of the case. The report will be filed with the court and served on the BA, counsel for any committee appointed by the court and any party designated by the court for receipt of same.

(b) DUE DATE. The report is due on the last day of the month following the reporting period of the report.